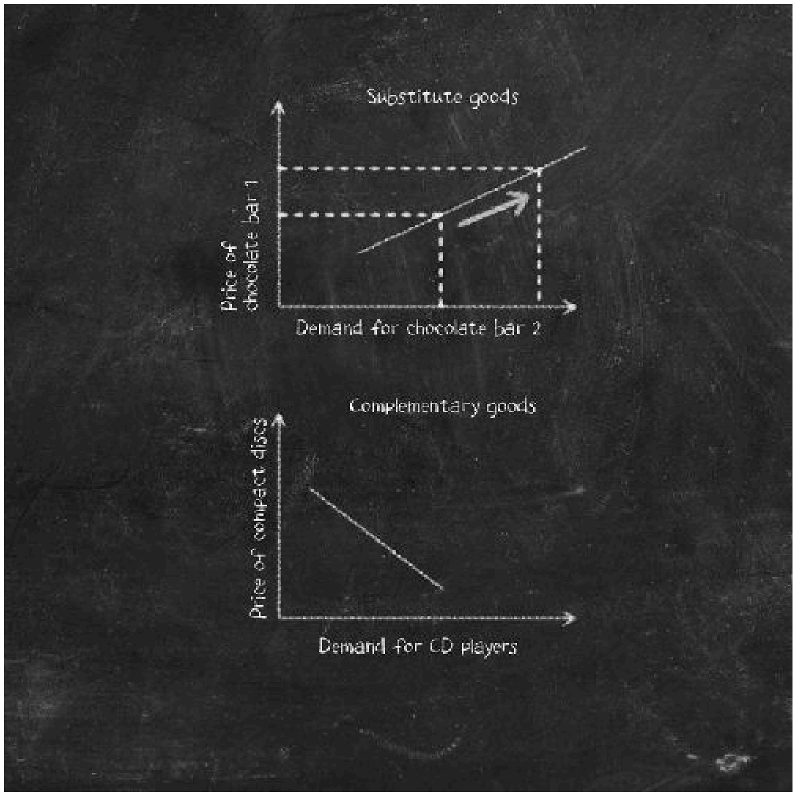
Substitutes and complements

Different kinds of chocolate bars are what economists call substitutes – they all satisfy the same basic want, so that if the price of one bar increases, people will buy less, and buy more of another kind instead. In contrast, some goods are consumed jointly, compact discs and CD players, for example. If the price of compact discs rose, the demand for CD players would fall. Economists call these kinds of goods complements.

Many goods are of course unrelated – in the sense that when the price of one changes, the demand for the other is unaffected (tuna and computer games, perhaps). Goods may have degrees of substitutability and complementarity: for example, two brands of orange juice may be substitutable, but butter and margarine are less so. Substitutability is considered by competition authorities when they assess the extent to which a firm might be monopolizing a market: a firm controlling the butter market would be less able to raise prices if consumers could switch to margarine.


Substitute goods
Price of chocolate bar 1
Demand for chocolate bar 2
Complementary goods
Price of compact discs
Demand for CD players